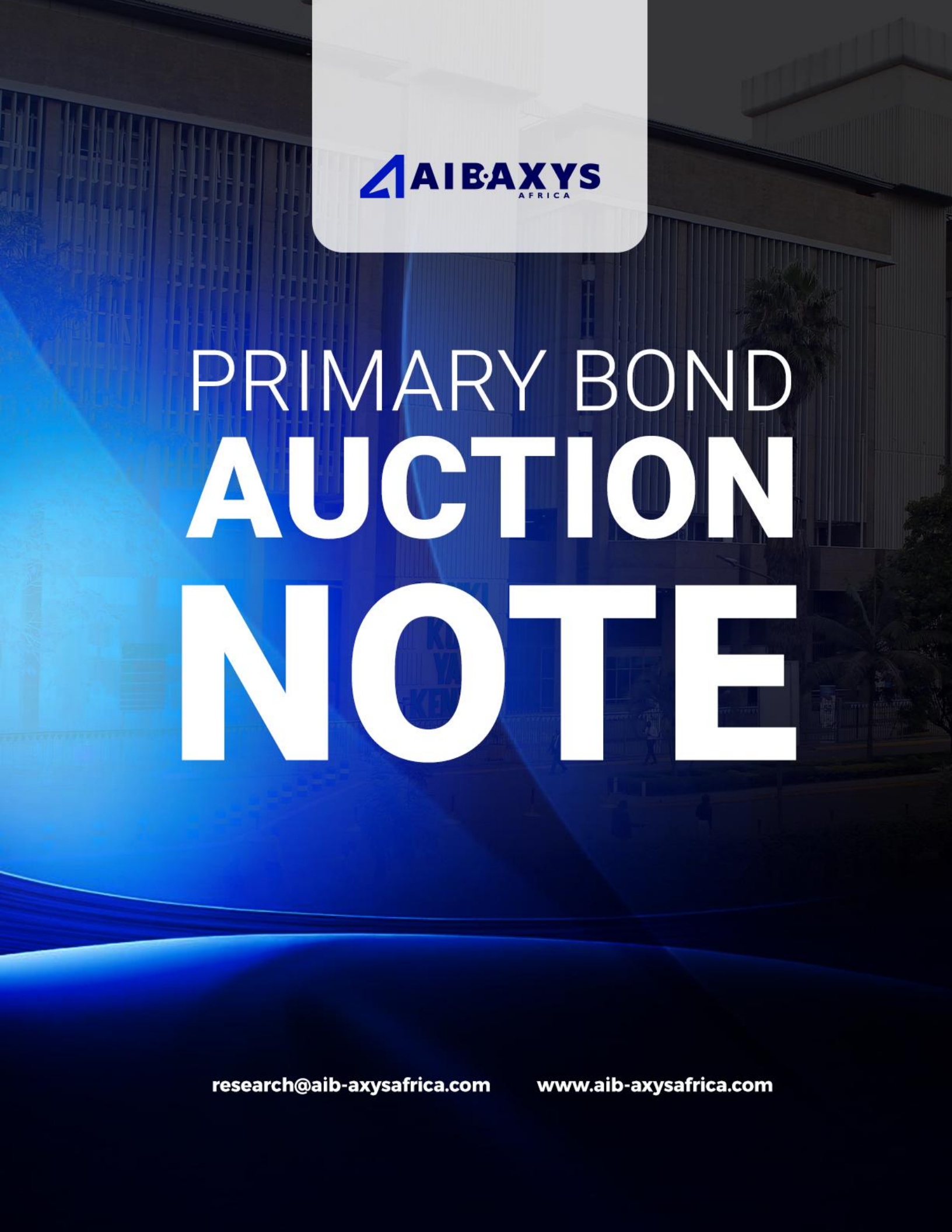

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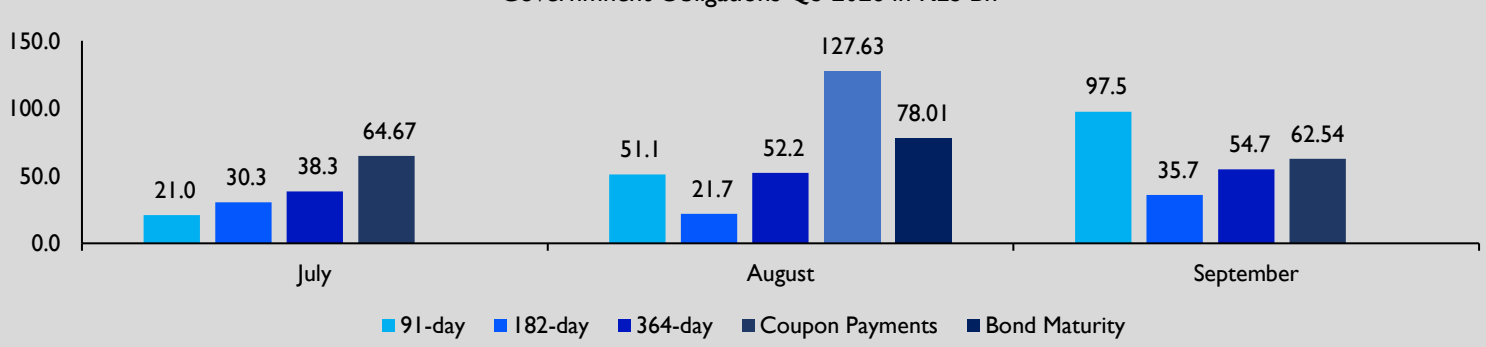
AIB-AXYS July 2026 Primary Bond Auction Note

Summary

- **The Exchequer is seeking to raise KES 70.00Bn through the re-opening of the FXD1/2022/010, FXD1/2021/025 and FXD1/2026/030** treasury bonds earmarked for budgetary support in FY25/26.
- Fiscal Year 2026/27 has commenced, with the government facing approximately KES 154.27 Bn in debt obligations in July. However, debt obligations are expected to increase in the latter months of the quarter, particularly with the inclusion of bond maturities. Based on the FY 2026/27 budget, authorities are expected to rely on the domestic market to finance the KES 1.1 Tn budget deficit. On a prorated basis, we estimate that approximately KES 85.8 Bn will be raised through domestic borrowing each month. This heavy reliance on the domestic debt market is likely to rekindle concerns over crowding out.
- We opine that the anticipated reliance on the domestic market may sustain the upward trend in yields observed in recent auctions. In addition, investors are likely to demand higher returns to preserve their real return amid higher inflation. Consequently, we expect aggressive bidding in this auction, as well as in upcoming issuances
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2022/010, FXD1/2021/025 & FXD1/2026/030	
Issuer:	Republic of Kenya
Total Amount:	KES 70.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2022/010** - (5.8 Yrs)– Re-opened **FXD1/2021/025** - (15.2 Yrs)– Re-opened **FXD1/2026/030** - (29.9 Yrs) – Re-opened
Coupon Rate:	**FXD1/2022/010** – 13.4900% **FXD1/2021/025** – 13.4440% **FXD1/2026/030** – 12.5000%
Price Quote:	Discounted/Premium/Par
Period of sale:	25th June 2026 to 8th July 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2022/010** – 3rd -May - 2032 **FXD1/2021/025** – 22nd -Jul -2041 **FXD1/2026/030** – 13th -Mar - 2056
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2022/010 – 12.74%-12.94%** **FXD1/2021/025 – 14.34%-14.54%** **FXD1/2026/030 – 14.74%-14.94%**



Source: CBK, AIB-AXYS Africa Research

Yield Curve

The upward trend in yields has persisted across the yield curve. Expectations of higher inflation and uncertainty surrounding the monetary policy rate have been key drivers, prompting investors to demand a higher premium to protect their real returns. The dominant trend in the spot market that we highlighted earlier has remained intact: "heavy appetite for the 91-day paper." This suggests that the market is pricing in higher yields in the near term, with investors favouring shorter maturities so they can reinvest in longer tenors at potentially higher returns.

We are of the view that, while not our base-case scenario, the upward trend in yields may moderate in the coming months following the emergence of a workable framework in the Middle East, which has eased inflation concerns as energy prices continue to soften after the reopening of the Strait of Hormuz. However, we remain cognizant of the fragility of the ceasefire

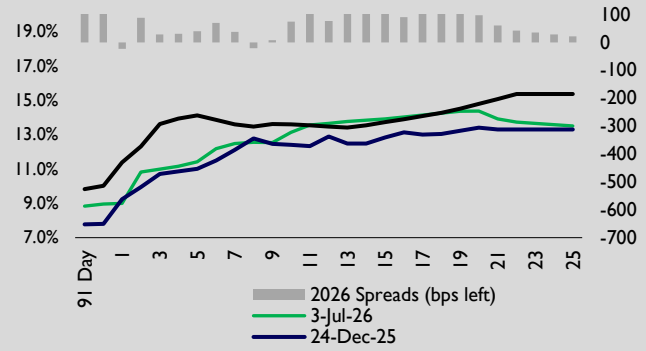
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) remained relatively stable at 8.75%, largely unchanged from May's level. Additionally, interbank volumes decreased by approximately 17.7% m/m.

Price Levels

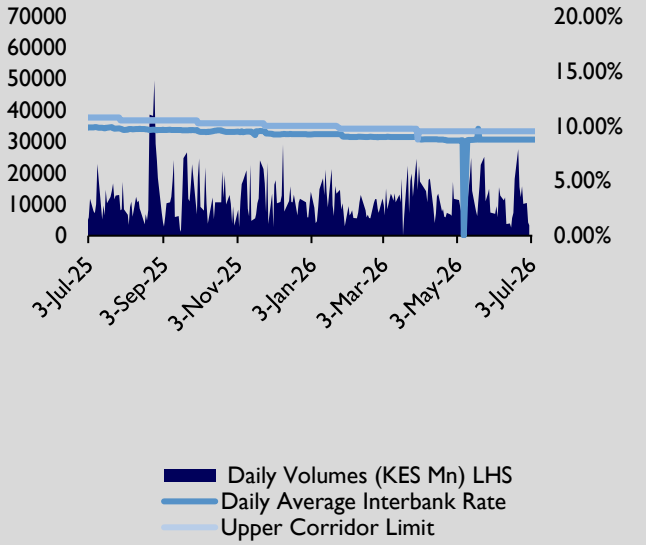
Headline inflation eased to 6.4% in June 2026 from 6.7% in May, broadly in line with our projected range. Food inflation remained the largest contributor to headline inflation, with the Food and Non-Alcoholic Beverages index rising 8.6% y/y, while Transport inflation remained elevated at 16.1% despite lower pump prices during the month. Underlying inflation showed early signs of easing. Core inflation moderated slightly to 3.1% from 3.2% in May, while non-core inflation declined to 15.1% from 16.0%, suggesting that supply-side pressures, particularly from food and energy, began to ease even as inflation remained above historical levels. Looking ahead, we expect inflation to gradually ease in the near term on the back of improving global oil supply following the reopening of the Strait of Hormuz. We expect lower oil prices in this month's fuel cycle by EPRA, which will, in turn, support the easing of non-core inflation.

Chart 2: Domestic Yield Curve Evolution



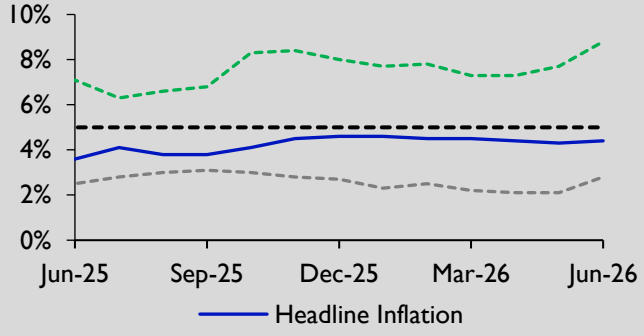
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels



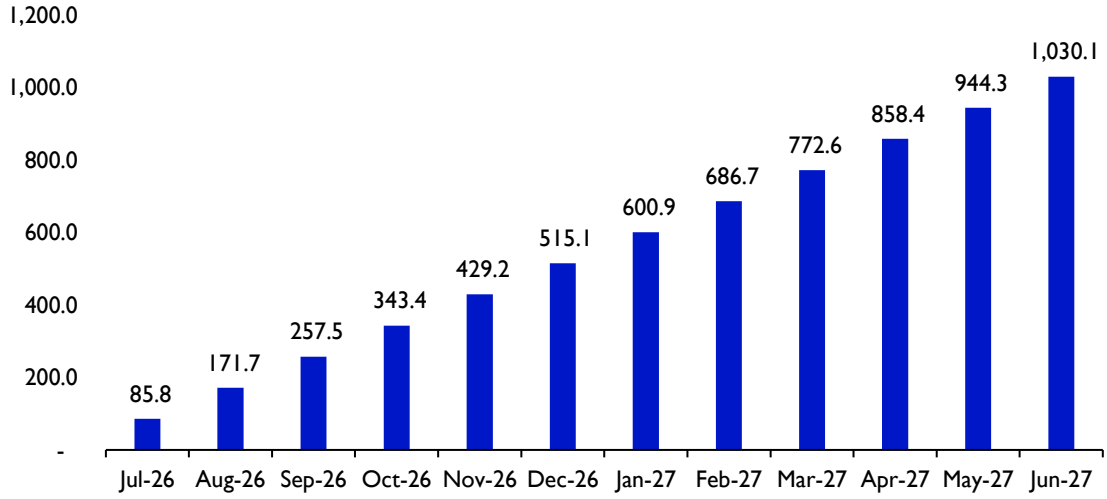
Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2022/010 - (5.8 Years)					
FXD1/2011/020	5-May-2032	4.8	37,029.40	10.0000%	11.2875%
FXD1/2022/010	**3-May-2032**	**5.8**	**80,901.70**	**13.49900%**	**12.1800%**
FXD1/2012/020	1-Nov-2032	6.4	201,744.13	12.0000%	12.2000%
Comparable Yields for the FXD1/2021/020 - (15.1 Years)					
SDB1/2011/030	21-Jan-2041	14.60	57,449.31	12.0000%	13.8750%
FXD1/2021/020	**25-May-2043**	15.10	152,102.88	**13.4440%**	**13.9287%**
FXD1/2018/025	**23-Sep-2047**	17.0	245,068.37	**13.4000%**	**14.1287%**
Comparable Yields for the FXD1/2026/030 - (29.8 Years)					
FXD1/2022/025	23-Sep-2047	21.3	216,157.30	14.1880%	13.7792%
FXD1/2026/030	**13-Mar-2046**	29.88	23,490.30	**12.5000%**	**13.1750%**

Source: CBK, AIB-AXYS Africa Research

FY26/27 Prorated Net Domestic Borrowing Target (KES Bn)



CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Apr-26	20,000	SDB1/2011/030 Re-opened	14.9		12.000%	13.110%	12.996%
		FXD1/2026/030 - New Issuance	30.0	**191.7%**	12.500%	13.867%	13.755%
May-26	80,000	FXD1/2012/020 Re-opened	6.6		12.000%	12.466%	12.457%
		FXD1/2019/020 Re-opened	13.0		12.873%	13.314%	13.213%
		FXD1/2021/025 Re-opened	20.1	**132.5%**	13.924%	13.766%	13.695%
Jun-26	40,000	FXD1/2020/015 Re-opened	8.7		12.756%	13.313%	13.312%
		FXD1/2018/025 Re-opened	17.1	**86.0%**	13.400%	14.233%	14.230%
Jun-26	15,000	FXD1/2020/015 Tap Sale	8.7		12.756%	13.313%	
		FXD1/2018/025 Tap Sale	17.1	**58.4%**	13.400%	14.233%	
Jun-26	60,000	FXD1/2018/020 Re-opened	11.8		13.200%	14.116%	13.989%
		FXD1/2021/025 Re-opened	20.0	**129.4%**	13.924%	15.111%	14.864%
Jun-26	20,000	FXD1/2018/020 Tapsale	11.8		13.200%	14.116%	
		FXD1/2021/025 Tapsale	20.0	**155.1%**	13.924%	15.111%	
Average*	**50,714**		**14.8**	**211.7%**	**13.097%**	**13.433%**	**13.226%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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